

Response to Reservation of Rights — Product Recall Matter

VIA EMAIL AND FIRST-CLASS MAIL

Re: Reservation of Rights Letter dated [date]; Policy No. [policy number]; Insured's Recall Matter

Dear [Claims Representative Name]:

We write on behalf of [Insured] in response to your letter reserving rights with respect to the above-referenced claim (the "ROR Letter"). We have reviewed the ROR Letter carefully, including the two grounds identified as potential bases for denying or limiting coverage: (1) late notice, and (2) application of the policy's sublimit provisions. For the reasons set forth below, [Insured] disputes both grounds and does not agree that either supports a reduction, denial, or limitation of coverage. This letter is sent to preserve [Insured]'s position and rights under the policy while the parties continue to evaluate the claim; nothing in this letter should be read as a waiver of any right, remedy, or argument available to [Insured], all of which are expressly reserved.

1. The Late-Notice Ground Does Not Support Denial or Limitation of Coverage

The ROR Letter asserts that [Insured]'s notice of the underlying recall-related claim was untimely under the policy's notice provision. [Insured] does not concede that notice was late, but even accepting the insurer's characterization of the notice date for purposes of this letter only, timeliness of notice is not, by itself, a sufficient basis to deny or limit coverage under the governing authority in this jurisdiction absent a showing that the insurer was prejudiced by the delay.

We are not aware of, and the ROR Letter does not identify, any specific prejudice the insurer has suffered as a result of the timing of notice here. Defense counsel was retained promptly, no default or adverse ruling has been entered, discovery in the underlying matter remains open, and the insurer has been afforded a full opportunity to participate in and monitor the defense. Absent a concrete showing of prejudice — which the ROR Letter does not attempt to make — late notice, standing alone, cannot serve as a basis to deny or limit indemnity coverage.

[Insured] therefore respectfully requests that the insurer withdraw the late-notice ground as a basis for reserving rights, or, in the alternative, identify with specificity the prejudice on which it relies so that [Insured] may respond further.

2. The Sublimit Ground Is Not Established on the Present Record

The ROR Letter further asserts that a sublimit applicable to recall-related claims may cap or reduce available indemnity coverage for this matter. [Insured] disputes that the cited sublimit provision applies to the claim as presented. The underlying claim arises from alleged product defects giving rise to bodily injury and property damage exposures, not solely from the costs of the recall itself; coverage for those exposures is not, in [Insured]'s view, governed by the sublimit the insurer has invoked.

To the extent the insurer maintains that the sublimit governs some or all of the claim, [Insured] requests that the insurer identify the specific policy language, endorsement, and factual basis supporting that position, including how the insurer proposes to allocate the claim between sublimited and non-sublimited exposures. [Insured] reserves all rights to contest any such allocation and to seek full policy limits to the extent the sublimit does not apply.

3. Defense-Cost Advancement Should Continue Unaffected

We note that the ROR Letter does not, and we do not understand the insurer to contend that it does, affect the insurer's obligation to advance defense costs under the policy while these coverage issues are resolved. [Insured] expects that defense-cost advancement will continue in the ordinary course, and this letter should not be read as inviting any interruption of that advancement. Please confirm this understanding in writing.

4. Reservation of Rights

[Insured] reserves all rights, claims, and defenses available to it under the policy and applicable law, including but not limited to the right to contest any denial, reduction, or limitation of coverage on the grounds identified in the ROR Letter or any other ground, the right to seek a declaration of coverage, and the right to recover any damages, including consequential damages, arising from any improper denial or limitation of coverage. Nothing in this letter constitutes, and nothing should be construed as, an admission regarding the applicability of any policy term, condition, exclusion, or limitation.

We are available to discuss these issues at your convenience and would welcome the opportunity to resolve the coverage questions raised in the ROR Letter without the need for further proceedings. Please direct any response to the undersigned.

Sincerely,

Cecile Marchand Partner